3.6.4 Financial methods of motivation

Unit 3.6 Human resource management · 7 key points

- **Methods named by AQA:** piece rate, commission, salary schemes, performance-related pay
- **Piece rate:** paid for each unit produced
- **Commission:** payment linked to sales made
- **Salary:** fixed annual pay, paid monthly
- **Performance-related pay (PRP):** bonus or pay rise linked to meeting targets, often set at appraisal
- **Trap:** PRP is not the same as piece rate
- **Influences on choice:** type of work, how easily output can be measured, cost, culture